28 April 2023

First Quarter 2023 Results

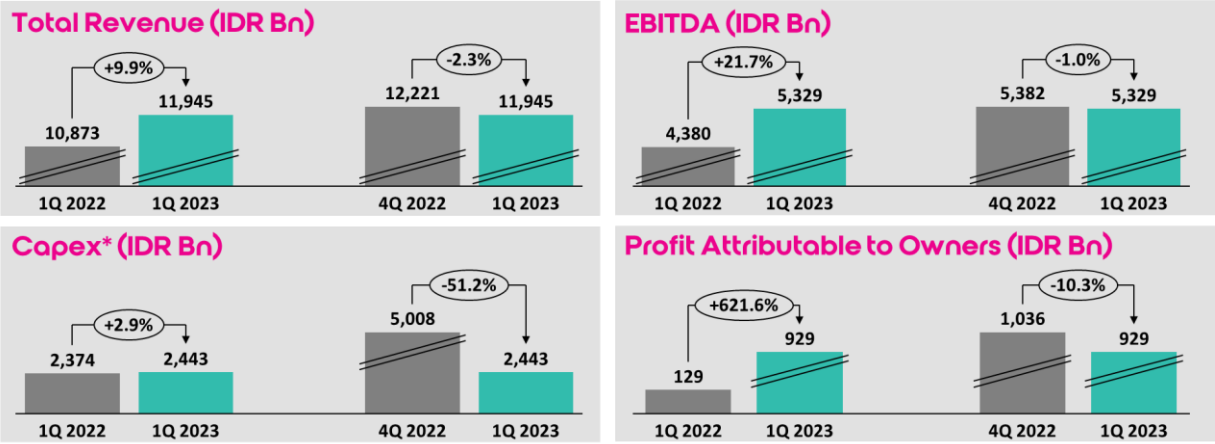
Total Revenue of IDR11,945.0 bn, 9.9% YoY.
EBITDA of IDR5,329.1 bn, 21.7% YoY. Sustained Net Profit of IDR929.1 bn

PT Indosat Tbk. ("the Company") demonstrated strong financial performance during the first quarter of 2023, continuing the upward trend established in the prior year. This is seen in the 9.9% YoY increase in total revenue to IDR11,945.0 billion while EBITDA of IDR5,329.1 billion increased by 21.7% YoY, due to a combination of top line growth and cost optimization momentum. EBITDA margin stood at 44.6% in 1Q 2023. Profit For The Period Attributable To Owners Of The Parent was IDR929.1 billion.

Driven by its approach of providing straightforward and affordable products, along with investment in its network infrastructure, the Company experienced a 4.1% growth in its customer base, reaching 98.5 million in the first quarter of 2023 compared to the same period in the prior year. The growth in the customer base resulted in a modest increase in Average Revenue per User (ARPU) for the first quarter of 2023, reaching IDR 32.9 thousand, up from IDR 32.0 thousand in the same period of the previous year.

With the customer base growing, data traffic saw an impressive 17.3% YoY rise in Q1 2023. Concurrently, the Company has expanded its network infrastructure, boosting the 4G BTS count to 152k in order to effectively manage the heightened traffic levels.

Financial Highlights



** excluding Right of Use Assets under PSAK 73*

Indosat has 100% progress in its network integration with the Multi-Operator Core Network (MOCN) technology which was carried out in more than 46 thousand sites across Indonesia. The integration of the sites was completed in one year, at the end of March, now, all Indosat customers, both IM3 and Tri, can experience a more expansive network coverage with the addition of more than 700 districts, better indoor quality service for an additional 32% of the population, and an internet experience of up to twice the speed before the integration. A better throughput and latency improved 20% of the user experience for main services such as video streaming and gaming.

On 15 February 2023, the Company, PT Dayamitra Telekomunikasi Tbk (Mitratel), and PT dhost Telekomunikasi Nusantara (dhost) signed an agreement to sell and lease back telecommunications towers. The Company signed a conditional sales agreement for 1,630 telecommunications towers (with a breakdown of 997 towers to Mitratel and 633 indoor infrastructures to dhost) and a leaseback agreement for 1,527 telecommunications towers for the next 10 years (with a breakdown of 983 towers from Mitratel and 544 indoor infrastructures from dhost). The transactions were completed and IOH received the proceeds from the sales of 997 towers and 633 indoor infrastructures on 1 March 2023.

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FIRST QUARTER 2023
OPERATING AND FINANCIAL RESULTS

The Company has released its unaudited interim consolidated financial statements for the First Quarter 2023 ("1Q 2023"). The unaudited interim consolidated financial statements have been prepared and presented in accordance with Indonesian Financial Accounting Standards (IFAS).

Unaudited Interim Consolidated Statements of Profit or Loss and Other Comprehensive Income

Key Indicators (in IDR billion)	Annually			Quarterly		
	1Q 2023	1Q 2022	Growth %	1Q 2023	4Q 2022	Growth %
Revenues	11,945.0	10,872.6	9.9	11,945.0	12,221.5	(2.3)
• Cellular	10,258.0	9,378.1	9.4	10,258.0	10,399.9	(1.4)
• MIDI	1,454.9	1,307.9	11.2	1,454.9	1,630.0	(10.7)
• Fixed Telecom	232.1	186.6	24.4	232.1	191.6	21.2
Expenses	(9,585.8)	(9,656.7)	(0.7)	(9,585.8)	(9,530.6)	0.6
Operating Profit	2,359.2	1,215.9	94.0	2,359.2	2,690.9	(12.3)
Other Expenses - Net	(1,201.9)	(1,053.0)	14.1	(1,201.9)	(933.1)	28.8
Profit for the Period Attributable to Owners of The Parent	929.1	128.7	621.6	929.1	1,035.8	(10.3)
EBITDA*	5,329.1	4,380.1	21.7	5,329.1	5,382.0	(1.0)
EBITDA Margin	44.6%	40.3%	4.3	44.6%	44.0%	0.6

Financial Ratios

	Formula	1Q 2023	1Q 2022
Interest Coverage**	EBITDA/Interest Payment	16.22	11.67
Net Debt to EBITDA***	(Debt - Cash & Cash Equivalent)/Total EBITDA	0.33	1.13

** EBITDA (earnings before interest, taxes, depreciation and amortization) is a non-IFAS measure that management believes is a useful supplemental measure of cash generated prior to debt service, capital expenditures and income tax. Investors are cautioned that EBITDA should not be construed as an alternative to net income determined in accordance with IFAS as an indicator of the Company's performance or to cash flows from operations as a measure of liquidity and cash flows. EBITDA does not have a standardized meaning prescribed by IFAS. The Company's method of calculating EBITDA may differ from the methods used by other companies and, accordingly, it may not be comparable to similarly titled measures used by other companies.*
*** Calculated using EBITDA and interest payment for the periods ended 31 March 2023 and 2022.*
**** Net debt excludes lease liabilities.*

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Revenues of IDR11,945.0 billion were recorded for 1Q 2023, an increase of IDR1,072.4 billion or 9.9% higher compared to 1Q 2022. The Company's Cellular, MIDI, and Fixed Telecommunication business each contributed 85.9%, 12.2%, and 1.9%, respectively to the consolidated operating revenues for the period ended 31 March 2023.

- ***Cellular Revenues*** increased by 9.4% compared to 1Q 2022, attributable to increase in Data and Interconnection revenue, offsetting with decrease in Voice revenue.
- ***MIDI Revenues*** increased by 11.2% compared to 1Q 2022, attributable to increase in IT Services and Fixed Internet, offsetting with decrease in Fixed Connectivity revenue.
- ***Fixed Telecommunication Revenues*** increased by 24.4% compared to 1Q 2022 driven by increase in International Call and Fixed Line revenues.

Expenses of IDR9,585.8 billion were recorded for 1Q 2023, a decrease of IDR70.9 billion or 0.7% lower compared to 1Q 2022. This decrease was mainly due to decrease in Cost of Services, and General and Administration Expenses, and increase in Other Operating Income, offset by increase in Depreciation and Amortization, Personnel and Marketing Expenses.

- ***Cost of Services:*** decreased by IDR59.4 billion or 1.1% lower over 1Q 2022, mainly due to decrease in frequency fee, leased circuit, and installation offsetting with higher interconnection, maintenance, SIM cards, USO, and concession fee.
- ***Depreciation and Amortization:*** increased by IDR393.4 billion or 11.9% higher over 1Q 2022, mainly due to impact of depreciation from additional fixed assets from network roll out.
- ***Personnel Expenses:*** increased by IDR203.2 billion or 28.2% higher over 1Q 2022 mainly due to increase in employee salary, bonus and employee income tax expenses.
- ***Marketing Expenses:*** increased by IDR15.0 billion or 5.1% higher over 1Q 2022, mainly due to increase in promotion, advertising, channel marketing, market research,

exhibition, and subscriber acquisition cost, as impact from higher activities to support revenue growth.

- ***General and Administration Expenses:*** decreased by IDR35.4 billion or 18.7% lower over 1Q 2022 mainly due to decrease in allowance for impairment receivables, manage services, and insurance expenses as part of ongoing cost optimization initiatives.
- ***Other Operating Income:*** increased by IDR587.7 billion or 402.3% higher over 1Q 2022 mainly due to net gain on assets sale and leaseback in 1Q 2023.

Other Expense - net: The Company recorded expenses of IDR1,201.9 billion, increased by IDR148.9 billion or 14.1% higher over 1Q 2022. This increase was due to higher finance costs by IDR127.3 billion mainly due to higher finance charges under lease liabilities, and higher loss on foreign exchange by IDR 105.8 billion, offset by increase in interest income by IDR84.3 billion.

Profit for the Period Attributable to Owners of the Parent: The Company recorded net profit of IDR929.1 billion, increased by IDR800.4 billion primarily driven by higher revenue by IDR 1,072.4 billion and net gain on assets sale and leaseback, offset by higher operating expense, higher depreciation and amortization, and higher financing cost.

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

Key Indicators (in IDR billion)	1Q 2023	FY 2022	Growth %
ASSETS			
Current Assets	20,649.1	18,683.1	10.5
Non-Current Assets	94,316.8	95,197.1	(0.9)
TOTAL ASSETS	**114,965.9**	**113,880.2**	**1.0**
LIABILITIES			
Current Liabilities	37,338.7	35,874.0	4.1
Non-Current Liabilities	45,022.4	46,391.2	(3.0)
TOTAL LIABILITIES	**82,361.1**	**82,265.2**	**0.1**
TOTAL EQUITY	**32,604.8**	**31,615.0**	**3.1**
TOTAL LIABILITIES & EQUITY	**114,965.9**	**113,880.2**	**1.0**

- **Current assets** increased by 10.5% to IDR20,649.1 billion, mainly due to an increase in cash and cash equivalent, offset by decrease in prepaid frequency fee and licenses due to amortization.
- **Non-current assets** decreased by 0.9% to IDR94,316.8 billion, mainly due to decrease in fixed assets impact from assets sale, decrease in claim for tax refund and deferred taxes.
- **Current liabilities** increased by 4.1% to IDR37,338.7 billion mainly due to increase in procurement payable, accounts payable, taxes payable, and accrued expenses, offset by lower unearned revenues.
- **Non-current liabilities** decreased by 3.0% at IDR45,022.4 billion mainly due to lower non-current portion of loans and bonds payables, as impact reclassification to current portion.

Cash Flow and Capital Expenditure

Key Indicators (in IDR billion)	1Q 2023	1Q 2022	Growth %
Net Cash Flows Provided by Operating Activities	5,032.5	3,406.6	47.7
Net Cash Flows Used in Investing Activities	(773.5)	(2,282.3)	(66.1)
Net Cash Flows Used in Financing Activities	(1,785.7)	(1,071.2)	66.7
Net Foreign Exchange Differences from Cash and Cash Equivalents	(118.1)	8.6	(1,473.7)
Net Increase in Cash and Cash Equivalents	**2,355.2**	**61.7**	**3,659.5**
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD	**9,507.9**	**3,789.0**	**150.9**
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	**11,863.1**	**3,850.7**	**208.1**

Capex in 1Q 2023 amounted to IDR2,443.3 billion (excluding IDR1,494.0 billion of Right of Use Assets). Approximately 91.4% of the Capex was allocated to cellular, to support data services demand and the remaining balance was allocated to MIDI, infrastructure and IT Capex.

STATUS OF DEBT

Total outstanding debt: As of 31 March 2023, the Company had total outstanding gross debts (excluding unamortized transaction costs and lease liabilities) of IDR18,633.3 billion. The Company's cash position as at 31 March 2023 stood at IDR11,863.1 billion and net debt is at IDR6,770.2 billion. The composition of the Company's gross debt, excluding lease liabilities, is as follows:

Debt Proportion (Principal amount)	1Q 2023	FY 2022	Growth %
IDR Loans (billion)	11,037.3	13,727.3	(19.6)
IDR Bonds (billion)	7,596.0	7,596.0	-

Total maturing debt: in the next twelve months, IDR4.31 trillion of the Company's debt is maturing. The average tenor of debt is 2.8 years as of 31 March 2023.

OPERATIONAL RESULTS

Key Indicators	Annually			Quarterly		
	1Q 2023	1Q 2022	Growth %	1Q 2023	4Q 2022	Growth %
Customers - Postpaid (million)	1.6	1.6	(0.8)	1.6	1.6	0.7
Customers - Prepaid (million)	96.9	93.0	4.2	96.9	100.6	(3.7)
Customers - Total (million)	**98.5**	**94.6**	**4.1**	**98.5**	**102.2**	**(3.6)**
ARPU (Postpaid) (IDR thousand)	68.4	63.9	7.1	68.4	71.2	(3.9)
ARPU (Prepaid) (IDR thousand)	32.4	31.5	2.7	32.4	33.3	(3.0)
ARPU (Blended) (IDR thousand)	**32.9**	**32.0**	**2.8**	**32.9**	**33.9**	**(3.0)**
MoU	**7.9**	**12.9**	**(38.9)**	**7.9**	**9.1**	**(13.2)**
Data Traffic (TB)	**3,456,668**	**2,947,773**	**17.3**	**3,456,668**	**3,460,183**	**(0.1)**
SMS Traffic (bn)	**0.6**	**0.7**	**(13.7)**	**0.6**	**0.6**	**5.0**

In 1Q 2023 the company experienced significant growth in its cellular customer base, reaching a total of 98.5 million customers. 1Q 2023 customer number increased by 3.9 million customers compared with 1Q 2022.

ARPU for cellular customers in 1Q 2023 stood at IDR32.9 thousand or IDR0.9 thousand higher compared to 1Q 2022.

Average Minutes of Usage (MOU) per customer decreased to 7.9 minutes, a 38.9% decrease compared to 1Q 2022 in-line with the decrease of industry trend related of traditional voice services.

NETWORKS

As of 31 March 2023, the Company has operated ~152K 4G BTS (adding ~32K 4G BTS during 1Q 2023) and 90 5G BTS.

Key Indicators		Annually		
		1Q 2023	1Q 2022	% Change
Base Transceiver Stations (BTS)	2G	46,087	48,823	(5.6)
	3G	425	37,520	(98.9)
	4G	152,155	120,082	26.7
	5G	90	56	60.7

About Indosat Ooredoo Hutchison

Indosat Ooredoo Hutchison (IDX: ISAT)'s vision is to become the most preferred digital telco of Indonesia. Through its world-class digital telecom services and preeminent network, Indosat Ooredoo Hutchison strives to connect and empower every Indonesian. Jointly controlled by Ooredoo Group and CK Hutchison, Indosat Ooredoo Hutchison was formed through the merger of PT Indosat Tbk and PT Hutchison 3 Indonesia in 2022.

Ticker: **ISAT**; Closing Price: **IDR6,950**; Market Capitalization: **IDR56.0 trillion**; Ratings: **Pefindo idAAA (Stable)**; **Fitch AA+(idn) (Stable)**; USD Rate: **IDR15,062**

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UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
For The Three-Month Periods Ended 31 March 2023 and 2022
(Expressed in Billions of Rupiah)

Description	2023	2022	Growth (%) [1]
REVENUES			
Cellular	10,258.0	9,378.1	9.4
Multimedia, Data Communication, Internet ("MIDI")	1,454.9	1,307.9	11.2
Fixed Telecommunications	232.1	186.6	24.4
TOTAL REVENUES	**11,945.0**	**10,872.6**	**9.9**
(EXPENSES) INCOME			
Cost of Services	(5,226.9)	(5,286.3)	(1.1)
Depreciation and Amortization	(3,703.7)	(3,310.3)	11.9
Personnel	(924.6)	(721.4)	28.2
Marketing	(311.1)	(296.1)	5.1
General and Administration	(153.3)	(188.7)	18.7
Net Gain on Assets Sale and Leaseback	722.4	-	100.0
Share of Net Profit (Loss) of Associates and Joint Ventures	17.3	(8.3)	308.2
Gain (Loss) on Foreign Exchange - net	11.7	(2.3)	621.1
Amortization of Deferred Gain on Sale and Leaseback of Towers	-	35.9	(100.0)
Others - Net	(17.6)	120.8	(114.5)
TOTAL EXPENSES	**(9,585.8)**	**(9,656.7)**	**(0.7)**
OPERATING PROFIT	**2,359.2**	**1,215.9**	**94.0**
Interest Income	96.5	12.2	694.9
Finance Costs	(1,197.8)	(1,070.5)	11.9
(Loss) Gain on Foreign Exchange - net	(100.6)	5.2	(2,026.7)
Gain on Change in Fair Value of Derivatives - net	-	0.1	(100.0)
OTHER EXPENSES - Net	**(1,201.9)**	**(1,053.0)**	**14.1**
PROFIT BEFORE INCOME TAX	**1,157.3**	**162.9**	**610.5**
INCOME TAX (EXPENSE) BENEFIT	**(163.3)**	**1.3**	**(12,186.5)**
PROFIT FOR THE PERIOD	**994.0**	**164.2**	**505.2**
PROFIT FOR THE PERIOD ATTRIBUTABLE TO:			
OWNERS OF THE PARENT	**929.1**	**128.7**	**621.6**
NON-CONTROLLING INTERESTS	**64.9**	**35.5**	**82.7**
TOTAL	**994.0**	**164.2**	**505.2**

1) Percentage changes may vary due to rounding.

Disclaimer
This document contains certain financial information and results of operation, and may also contain certain projections, plans, strategies, and objectives of Indosat Ooredoo Hutchison, that are not statements of historical fact which would be treated as forward-looking statements within the meaning of applicable law. Forward looking statements are subject to risks and uncertainties that may cause actual events and Indosat Ooredoo Hutchison's future results to be materially different than expected or indicated by such statements. No assurance can be given that the results anticipated by Indosat Ooredoo Hutchison, or indicated by any such forward looking statements, will be achieved.

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